

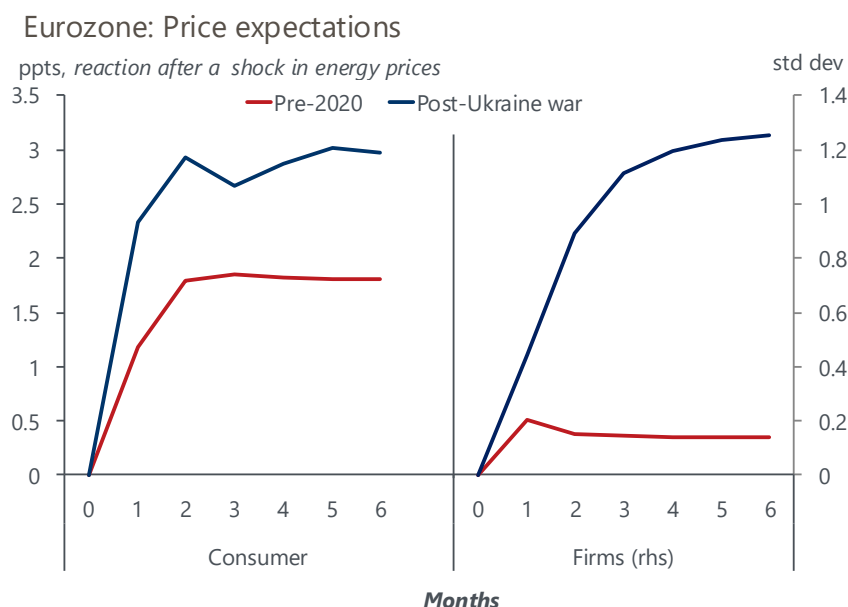
Research Briefing | Eurozone

Inflation expectations' role in guiding monetary policy

- Inflation expectations in the Eurozone now react more strongly to energy price shocks than before the 2022 crisis. This reinforces our view that monetary policy may need to become more responsive in an era of frequent supply shocks. While the expected spike in inflation is unlikely to compare to that of 2022, we believe the European Central Bank will likely act more quickly.
- Our modelling suggests that the recent response of consumers' expectations to an energy shock is twice as large as pre-pandemic, and the shift in behaviour is even more pronounced for firms. Professional forecasters are also more responsive, particularly for shorter forecast horizons. Market-based measures show the change in response is only biased towards price increases.
- Moreover, not all measures of inflation expectations have returned to normal levels. Households and forecasters also see higher odds of relatively elevated inflation. We find that the intensity of Google searches related to inflation remained higher-than-usual after the recent period of elevated inflation and there was a visible pickup in search intensity at the start of the war in Iran.
- We recommend keeping a close eye on these measures as a possible de-anchoring of inflation expectations is a risk we think the ECB will monitor, and could encourage the Governing Council to hike rates later this year, amplifying the drag on growth from the real income shock.

We wrote at length about inflation expectations during the episode of high inflation in 2022-2023, given the role expectations play in the inflation process and because ECB members gave considerable weight to them (see [here](#), [here](#) and [here](#)). Last year's [monetary policy strategy review](#) underscored the importance of avoiding a de-anchoring of inflation expectations as means to mitigate second-round effects that can lead to a more prolonged impact on inflation from shocks. Beyond the traditional focus on long-term expectations, the ECB review also recognised the potential for short-term expectations to be a significant driver of wage growth due to the way wages are set, and thereby make inflation shocks more persistent.

Chart 1: Consumers and firms now react more strongly to energy shocks



Sources: Oxford Economics, Haver Analytics

Ricardo Amaro - Lead Economist - ramaro@oxfordeconomics.com

Paolo Grignani - Senior Economist - pgrignani@oxfordeconomics.com

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Inflation expectations will again play an important role in the ECB's deliberations about the inflation outlook amid a new sizable energy shock. Although we still think that the shock is unlikely to be as extreme as that posed by the war in Ukraine, the increased role of inflation expectations in the ECB's reaction function, as well as signs of them being less well-anchored than pre-pandemic, means monitoring expectations will be key to gauge the policy outlook.

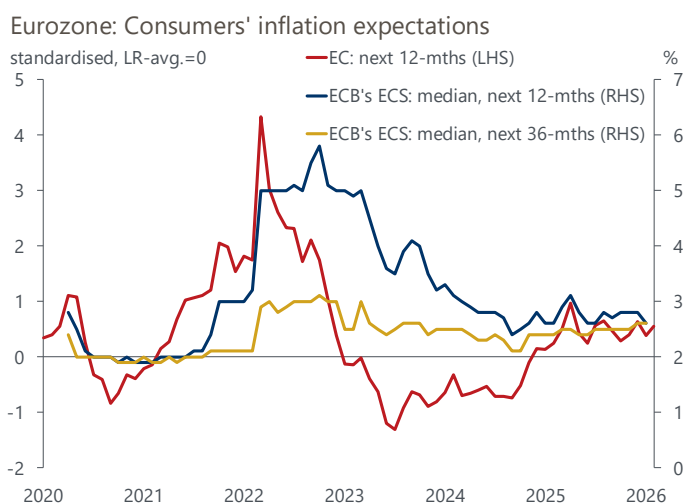
Expectations were in a good, but not perfect, place

We infer Eurozone inflation expectations using three standard methods: surveys of firms and households, surveys of experts, and empirical measures derived from market prices. Recent methods, such as internet search intensity for the term 'inflation', have added to the toolkit by providing a real-time measure of attention to inflation by households.

After being shaken by the 2022 surge in inflation, most measures returned to broadly normal levels around 2024 or in early 2025 and remained well-behaved since. However, measures of households and firms still provide some reason for caution (**Appendix 1**).

At face value, median inflation expectations as measured by the ECB's Consumer Expectations Survey never reached levels fully consistent with 2% inflation, though this survey's short sample makes it difficult to draw definitive conclusions about where normal levels lie (**Chart 2**). Average price expectations signalled by the European Commission's survey also started creeping up even before the start of the war in Iran to a relatively high level in February in an historical context. Moreover, progress has been uneven across sectors, with services price expectations never returning to normal levels, in line with trends in actual inflation.

Chart 2: Consumer inflation expectations provide some ground for caution

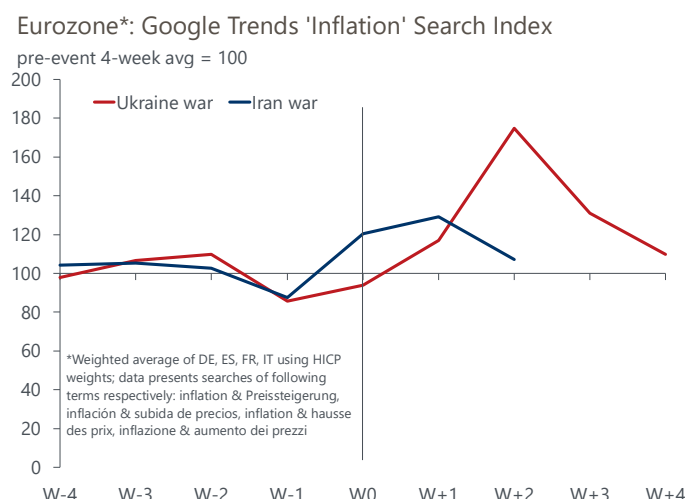


Sources: Oxford Economics, Haver Analytics

Google trends data for the four largest Eurozone economies reinforce that inflation expectations are starting the US/Israel-Iran war from a position of some fragility. Indeed, we find that the intensity of searches related to inflation remained higher-than-usual after the recent period of elevated inflation. For example, searches in 2025 were still roughly double the 2015-2019 average, despite the normalisation in inflation. Moreover, there was also a visible pickup in search intensity at the start of the war in Iran (**Chart 3**). This suggests a high level of attentiveness to inflation, which isn't surprising given some common features in both shocks and the proximity between them.

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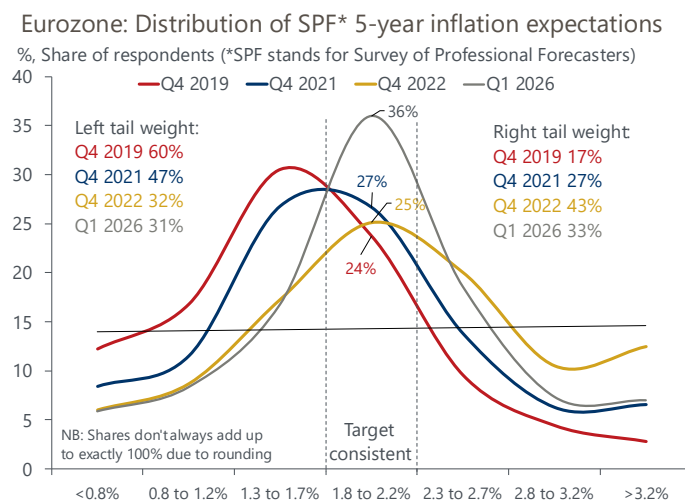
Chart 3: Google searches related to inflation picked up at the start of the war in Iran



Sources: Oxford Economics, Haver Analytics

Beyond households and firms, other measures are generally more encouraging. Professional forecasters have been onboard with the ECB achieving its 2% target in a sustainable manner since 2024, with the one-year, two-year, and five-year ahead measures all near 2% over the last two years or so. In fact, expectations by professional forecasters are now more in line with the ECB achieving its inflation target, given the low dispersion in responses, and a symmetrical distribution of long-term expectations reinforced the positive results, despite the odds of higher inflation outcomes remains higher (**Chart 4**).

Chart 4: Professional forecasters' expectations became symmetrically anchored around 2%

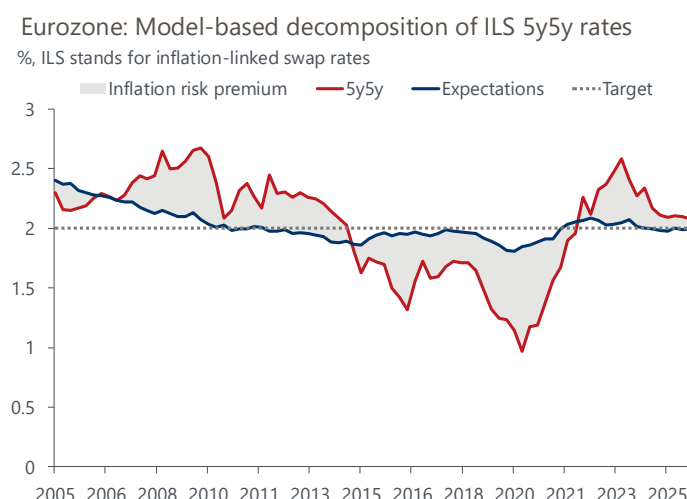


Sources: Oxford Economics, Haver Analytics

Market-based measures, such as the 5y5y inflation-linked swap rates (the average inflation rate over a five-year period starting in five years) and other time horizons, also converged to near 2%. These measures received some attention during the recent high inflation episode because they appeared to suggest some risk of a de-anchoring of long-term inflation expectations. Our analysis suggested those concerns were exaggerated as the overshoot was driven by risk premia, with the pure expectations component closer to 2% than usually perceived (**Chart 5**). Trends since then have validated our view.

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Chart 5: Risk premia drove the overshoot in inflation-linked swap rates



Sources: Oxford Economics, Haver Analytics

Modelling confirms agents became more responsive to price shocks

Beyond where we stand in terms of inflation expectations in the run-up and early stages of the energy shock, it is also important to assess whether the recent high inflation episode changed the way economic agents respond to inflation shocks, particularly energy prices. Our modelling shows tentative evidence that inflation expectations now react more strongly to energy price shocks than before.

We constructed separate Vector Autoregressions (VARs) to study how the responses of inflation expectations of 1) consumers and firms, 2) professional forecasters and 3) financial markets to an energy price shock have evolved since the start of the war in Ukraine and how that compares with the pre-pandemic period (see [Appendix 2](#)). The variables of these three models are the same, with the only difference being the measure of inflation expectations used. For consumers and firms, we use the measures from the European Commission which are closely watched and have a long sample period. This is in contrast to the ECB's Consumer Expectations Survey, which only covers the post-pandemic period. For professional forecasters, we use the SPF survey across various forecast horizons. For investors, we use the previously mentioned 5y5y inflation-linked swap rates. We calculate energy prices as the average of Brent prices in euros and Dutch TTF prices weighted by their relative size in the Eurozone's CPI.

Starting with consumers and firms, our modelling suggests tentative evidence that an energy price shock now has a much larger impact on our measures of inflation expectations. The response from consumers is twice as large the pre-pandemic norm, while the shift in behaviour is even more pronounced in the case of firms ([Chart 1](#)). A reason could be that media coverage is now more attentive and faster to highlight second-round effects, so consumers not only feel recent price increases but are continually exposed to stories about energy costs and spillovers to food. For firms, already-squeezed margins raise the pressure to increase prices and, expecting competitors to do likewise, they see and reinforce a broader inflation impact.

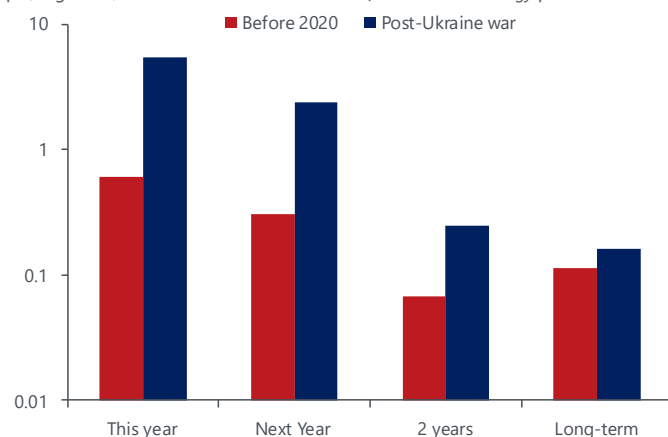
A similar pattern is found when looking at professional forecasters. Thanks to the higher granularity of the data, we can also see how the reaction became stronger across both short- and long-horizon inflation expectations, with the strongest effects at shorter forecast horizons. A possible interpretation is that experts are now more tuned into the impact that energy shocks can have on near-term inflation, but the ECB's eventual strong response to the recent inflation episode and return of inflation to target kept views about the longer term broadly intact ([Chart 6](#)).

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Chart 6: The reaction from professional forecasters is stronger throughout all horizons

Eurozone: SPF inflation expectations

pts, log-scale, cumulated reaction 6 months after a shock in energy prices



Sources: Oxford Economics, Haver Analytics

Finally on investors, the higher frequency of the data allowed us to go beyond a simple comparison of the post-Ukraine war versus pre-pandemic responses to an energy price shock. We also assessed if responses changed based on the nature of the shock, namely positive or negative shocks to energy prices.

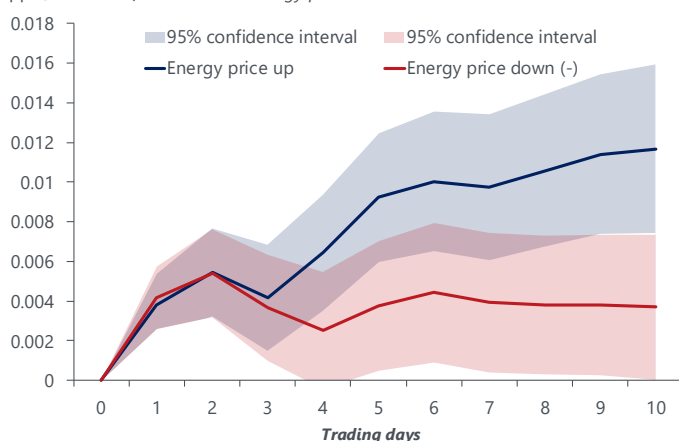
Interestingly, we find that the more recent response to negative energy price shocks is broadly the same as before, but daily 5y5y inflation-linked swap rates show a much stronger reaction to energy prices increases. This also means that the responses became quite asymmetric, with the effects of price increases much stronger than price decreases ([Chart 7](#)).

Due to lower data frequency, we couldn't test this hypothesis on households and firms, and professional forecasters, but we wouldn't be surprised to see similar trends. The behaviour of pump prices could also contribute to this change in response patterns – we have evidence that since the outbreak of the war in Ukraine, pump prices respond quicker to an oil price increase than decrease. Pump prices fall only gradually, and it usually takes up a couple of months for decreases to align with increases.

Chart 7: Inflation swaps show an upward bias

Eurozone: 5y5y inflation-linked swap rate

ppts, reaction after a shock in energy prices



Sources: Oxford Economics, Haver Analytics

While the consistency of the results across the various dimensions reassures our analysis, we are also conscious of some limitations. The sample since the start of the war in is relatively short. Moreover, simultaneous energy and other supply-side shocks make it harder to fully disentangle the pure energy price effect, potentially bringing some bias into our estimates. But since the US/Israel-Iran war will likely generate

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wider supply-chain pressures, as we explored in the latest set of alternative scenarios to our March baseline, we think this is less of an issue for this particular event.

Picture will become more complete by the end of March

In an era of more frequent supply shocks, larger fluctuations of inflation both above and below the ECB's 2% target are unavoidable. We have [long argued](#) that in this environment, Eurozone monetary policy is likely to become more responsive, with the ECB hiking faster on the way up to keep inflation expectations anchored, followed by faster rate cuts as inflation recedes. A relatively fragile starting point from some measures of inflation expectations and signs that inflation expectations have become more responsive after the last energy shock reinforce this view. All we have for now is imperfect measures from inflation swap rates and Google searches, but the picture will become more complete from late March, when we get the initial surveys on consumer expectations and business pricing plans from the European Commission. Meanwhile, the consumer expectations survey from the ECB for March will be released towards the end of April. The ECB will then release the survey of professional forecasters in early May. We recommend keeping a close eye on these as a possible de-anchoring in inflation expectations is [one of the three risks](#) we think the ECB will be mindful of and which could encourage the Governing Council to tighten policy later this year, as already mentioned by some board members.

Appendix 1: Key measures of inflation expectations

Eurozone inflation expectations aren't directly observable and in practice can't be captured by a single measure or number. Instead, they have generally been inferred using three standard methods as detailed [here](#). The table below presents the latest readings on how they compare with key historical benchmarks for standard measures of inflation expectations.

Table 1: Expectations were in a good, but not perfect, place

	2004-2007	2016-2019	2022-2023 peak	2025 Avg.	Feb. 2026 or latest available
HH and Business Surveys					
Consumer (EC ESI): Prices next 12-months*	0.1	-0.2	4.3	0.5	0.5
Industry (EC ESI): Prices next 12-months*	0.1	-0.2	4.0	0.0	0.2
Retail (EC ESI): Prices next 12-months*	-0.1	-0.4	3.6	0.5	0.5
Services (EC ESI): Prices next 12-months*	-0.1	0.1	3.0	0.9	0.9
Construction (EC ESI): Prices next 12-months*	0.3	0.2	3.2	0.3	0.4
ECB CES: mean, 12-months ahead	-	-	5.8	2.8	2.6
ECB CES: mean, 3-years ahead	-	-	3.1	2.5	2.6
Surveys of Professional Forecasters					
ECB SPF: mean, 2-years ahead	1.85	1.63	2.44	2.00	2.05
ECB SPF: mean, long-term	1.90	1.82	2.18	2.02	2.02
ECB SMA: Median, long-term	-	-	2.0	2.0	2.0
Market Based Expectations					
5y5y ILS rates	2.3	1.5	2.3	2.1	2.1
*Standardised values, LR avg. = 0					

Source: Oxford Economics

Appendix 2: VARs

We run VAR regressions using different inflation expectations definitions and the same energy variable. For Consumer expectations, ESI surveys and SPF we run a monthly model with two lags over two different samples, one before the pandemic and the second from 2022 onward.

$$y_t = \alpha + A_1 y_{t-1} + A_2 y_{t-2} + \varepsilon_t$$

with:

$$y_t = \begin{pmatrix} \text{inflation expectations}_t \\ \text{energy}_t \end{pmatrix}$$

We then run a 1 residual shock to compare the impulse response functions in different periods.

For 5y5y inflation swaps we use daily data with five lags. To compare the differences between positive and negative energy shocks, we split the energy variable in two;

$$\text{energy}_t^+ = \max(\Delta \log(\text{energy}), 0)$$

$$\text{energy}_t^- = \min(\Delta \log(\text{energy}), 0)$$

We then run a generalized impulse to compare the inflation expectations' reaction to different energy shocks.